MARKETBEAT

PHOENIX

OFFICE Q4 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
26.5% Vacancy Rate	▼	▼
973K YTD Net Absorption, SF	▲	▲
$30.10 Asking Rent, PSF	▲	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
4.6% U.S. Unemployment Rate	▲	▲

Source: BLS

Metro- and city-level employment data as of Q3 2025; U.S. averages Oct. and Nov. data due to delays from government shutdown

ECONOMY: GROWTH CONTINUES TO OUTPACE MOST METROS

In 2025, the Phoenix Metro reported an employment level of 2.5 million, after adding 31,200 jobs over the last year. While the unemployment rate bumped up from 3.3% to 3.6% during that period, it remained well-below the national average of 4.6% and ranked fourth-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, with the median household income increasing by 4.0% year-over-year (YOY) to $91,800. Population growth also doubled the national average, however, the 1.0% YOY increase marked a deceleration from previous quarters. While GDP growth also slowed slightly from last year, Phoenix's 2.2% YOY gain through 2025 remained well-ahead of the national rate, underscoring the Metro's continued economic strength.

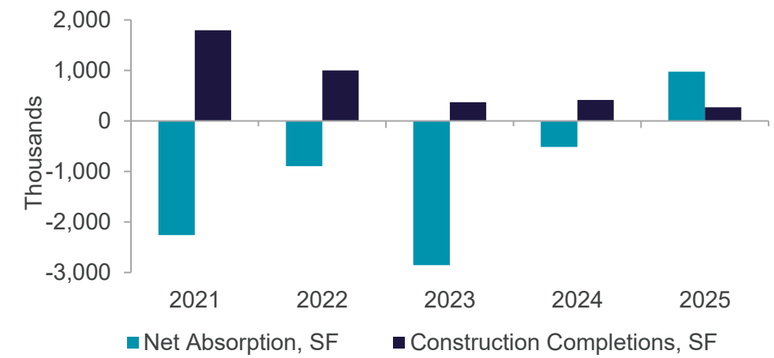
DEMAND: OVERALL VACANCY FALLS TO TWO-YEAR LOW

The Phoenix office vacancy rate decreased by 100 basis points (bps) in 2025, closing out the year at 26.5%. This marked the lowest level of overall vacancy since Q4 2023, driven by the Metro's first full year of positive absorption since 2019. The decline was most pronounced among Class A spaces, where robust tenant demand pushed vacancy down by 250 bps YOY to a ten-quarter low of 28.0%. Beyond the market's Class A performance, several submarkets noted even larger YOY reductions in overall vacancy, highlighted by Tempe (-620 bps), Price/Chandler/Gilbert (-370 bps) and Deer Valley (-330 bps).

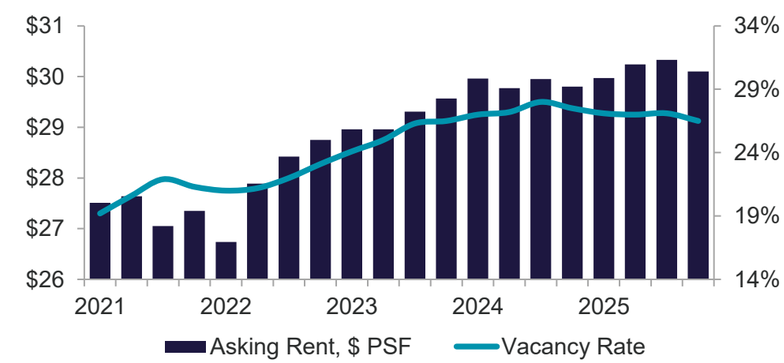
DEMAND: LEASING ACTIVITY ELEVATES TO SIX-QUARTER HIGH

Office leasing in Phoenix surged to 2.0 million square feet (msf) in Q4 2025, representing the Metro's strongest quarterly activity since Q2 2024. The quarter saw a notable rise in large-block transactions, with 10 occupiers committing to spaces exceeding 50,000 sf, a milestone not reached at any point in the post-pandemic cycle. Class A buildings — which typically offer the market's largest blocks of modernized space — benefitted the most from this trend, recording 879,582 sf of leasing activity in Q4, which was the segment's highest quarterly total in nearly four years. Class B spaces also exhibited strong performance, reaching 1 million square feet of leasing for the first time since Q2 2024. In contrast, Class C activity was noticeably muted at just 85,394 sf, likely reflecting occupiers' strengthening preferences for higher-quality options.

SPACE DEMAND / DELIVERIES

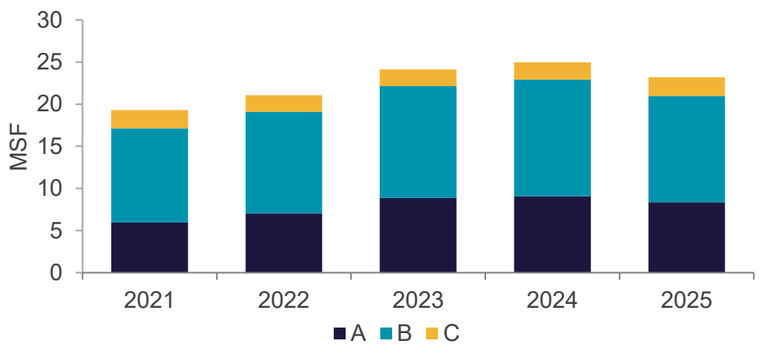


OVERALL VACANCY & ASKING RENT

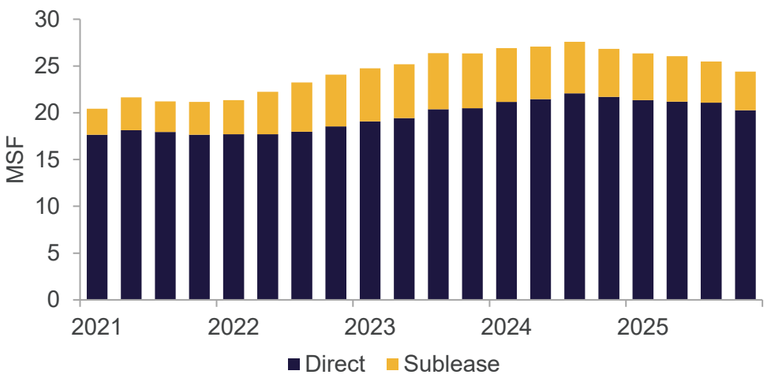


© 2026 Cushman & Wakefield

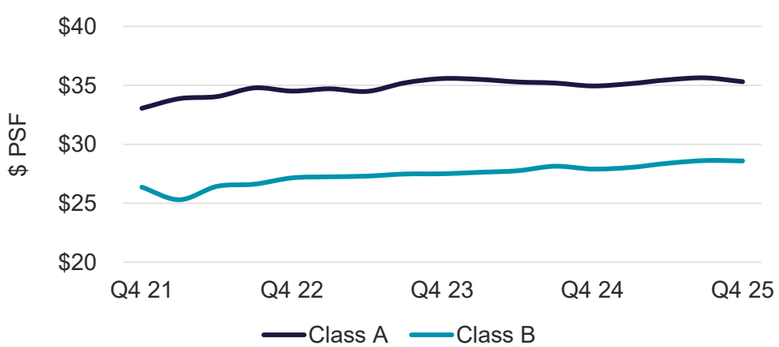
VACANT SPACE BY CLASS



DIRECT VS. SUBLEASE SPACE AVAILABLE COMPARISON



ASKING RENT COMPARISON



DEMAND: NET ABSORPTION POSITIVE FOR THE FIRST TIME SINCE 2019

After five consecutive of years of negative demand, Phoenix's office market returned to positive net absorption in 2025, totaling 973,402 sf. The fourth quarter accounted for 772,138 sf — a level 36% above the 2014-2019 quarterly average. Demand was widespread in Q4, with five submarkets each recording over 100,000 sf of absorption, the most in more than four years. Tempe (191,875 sf), Price/Chandler/Gilbert (190,662 sf) and Deer Valley (136,699 sf) highlight the group, with the latter two posting their highest totals since at least Q2 2020. Market-wide, Class B offices observed the strongest quarterly absorption at 469,688 sf, while the Class A segment maintained its momentum with a fourth straight positive quarter (369,817 sf). Looking ahead, absorption is projected to remain positive in 2026, supported by at least 2.8 msf of signed leases set to commence — including two build-to-suit (BTS) offices for Republic Services (250,000 sf) and Sprouts Farmers Market (144,500 sf).

SUPPLY: SUBLEASE VACANCY DECLINES FURTHER

In Q4 2025, the amount of vacant sublease space in Phoenix fell by 7.0% to 3.4 msf, the Metro's lowest level since Q2 2022. Of the space removed, roughly 60,000 sf was absorbed by subtenants, while another 123,511 sf came off the market through Lam Research's owner-user acquisition of Norterra West. Despite the continued decline, several large sublease availabilities are expected to enter the market in 2026. Two of the largest include Equality Health's 98,361 sf block at Riverwalk Arizona in Central Scottsdale and Kitchell's 62,515 sf building in the Camelback Corridor submarket.

PRICING: OFFICES ASKING RATES DIP ACROSS PROPERTY TIERS

The Metro's average full service gross asking rent decreased by 0.8% from Q3 to Q4 2025, settling at $30.10 psf. All property tiers recorded modest declines, with Class A offices posting the steepest decrease (0.9%), followed by the Class C (0.5%) and Class B (0.1%) segments. Still, the Camelback Corridor, the Metro's highest-priced submarket, noted a 0.8% quarter-over-quarter (QOQ) increase, with asking rates for premium spaces here reaching up to $65.00 psf. The Price/Chandler/Gilbert area, meanwhile, noted the strongest rent growth among Phoenix's 10 largest submarkets, with its average asking rate rising by 1.3% QOQ to $31.63 psf.

EMERGING TREND: LARGER OFFICES STARTING TO RECOVER

Vacancy among offices 100,000 sf and larger fell by 160 bps YOY to 30.5% in Q4, marking a near-two-year-low. While vacancy in this segment remained elevated compared to buildings under 100,000 sf, which posted an 18.9% rate, larger product observed much stronger occupier activity in 2025. Last year, seven new commitments of at least 100,000 sf and 20 over 50,000 sf were completed, both marking the highest counts since the pandemic. Conversely, 2025 registered the fewest sub-10,000 sf leases in at least four years, highlighting a shift toward larger requirements.

OUTLOOK

- Recovery is continuing to take hold in the Phoenix office market, with overall net absorption turning positive for the first year since the pandemic. Strong population growth and a steadily diversifying economy are expected to support long-term office demand, helping to counterbalance the impact of occupiers continuing to recalibrate their footprints. With employers increasingly looking for ways to boost attendance and retention, we believe the highest-quality and most amenity-rich offices will outperform in the next 3-5 years.
- Sublease vacancy likely peaked in Q4 2023 and has since declined by 35.6% over the last two years. We anticipate this trend to continue as fewer sublease listings come to market, and as many tenants capitalize on opportunities to secure space in desirable locations at a significant discount to direct lease rates.
- Only one new speculative office project is underway in Phoenix: the 37,000 sf outparcel building at The Grove in the Camelback Corridor submarket. Meanwhile, two BTS headquarters for Republic Services (250,000 sf) and Sprouts Farmers Market (144,500 sf) are slated to deliver in the Desert Ridge/Paradise Valley submarket in 2026.

© 2026 Cushman & Wakefield

MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**
(1) Arrowhead	480,517	3,131	65,948	14.4%	2,938	7,575	50,619	-	$30.65
(2) Metrocenter	4,850,549	73,449	1,672,610	36.0%	53,691	-92,810	224,801	-	$22.99
(3) Glendale 101	749,464	37,122	129,248	22.2%	7,213	5,347	40,279	-	$27.11
(4) Southwest Phoenix	313,743	-	-	0.0%	-	28,500	32,841	-	N/A
(5) Piestewa Peak	2,278,547	92,435	452,082	23.9%	-27,644	-48,821	141,897	-	$27.37
(6) Midtown	8,507,835	55,713	2,531,195	30.4%	-35,951	-63,392	444,537	-	$25.42
(7) Downtown	5,918,611	311,208	1,631,035	32.8%	18,713	-57,376	111,823	-	$31.50
(8) Desert Ridge/Paradise Valley	1,787,204	15,186	399,391	23.2%	95,125	61,591	252,585	394,500	$31.92
(9) Camelback Corridor	7,038,289	116,775	1,479,681	22.7%	17,886	9,012	753,810	37,000	$41.69
(10) Central Phoenix	882,187	-	154,528	17.5%	-10,271	-17,481	35,666	-	$21.90
(11) North Airport/44th St Corridor	2,435,086	110,776	816,813	38.1%	-47,771	-96,994	92,177	-	$29.46
(12) South Airport	5,175,130	579,684	1,367,049	37.6%	103,319	180,801	328,879	-	$28.32
(13) Scottsdale Airpark	9,291,271	270,333	1,390,859	17.9%	-77,612	35,926	941,009	-	$33.20
(14) Central Scottsdale	4,828,775	147,960	739,530	18.4%	10,097	-32,763	213,247	-	$32.27
(15) South Scottsdale	4,369,499	12,723	1,077,108	24.9%	102,903	112,484	418,283	-	$38.11
(16) Tempe	10,297,494	837,516	1,806,446	25.7%	191,875	634,467	862,134	-	$34.02
(17) South Tempe/Ahwatukee	1,675,191	23,548	371,651	23.6%	91,477	63,200	183,452	-	$25.81
(18) East Mesa	489,078	-	115,361	23.6%	-17,494	-23,527	36,000	-	$20.08
(19) Superstition Corridor	2,765,691	42,853	589,583	22.9%	-32,047	-85,561	258,193	-	$23.77
(20) Price/Chandler/Gilbert	8,334,810	511,520	1,778,358	27.5%	190,662	379,796	682,341	-	$31.63
(21) Deer Valley	4,268,846	164,230	1,149,013	30.8%	136,699	-67,731	328,728	-	$27.86
(22) West I-10	317,674	5,953	40,161	14.5%	-1,176	15,367	54,380	-	$35.66
(23) Loop 303/Surprise	129,735	-	32,265	24.9%	-3,855	11,553	11,256	-	$34.84
(24) Phoenix-Mesa Gateway/Loop 202	354,172	-	6,959	2.0%	3,361	14,239	19,998	-	$37.87
PHOENIX TOTALS	**87,539,398**	**3,412,115**	**19,796,874**	**26.5%**	**772,138**	**973,402**	**6,518,935**	**431,500**	**$30.10**
Class A	29,907,911	2,008,316	6,357,066	28.0%	369,817	847,362	2,595,461	394,500	$35.31
Class B	45,294,892	1,370,866	11,243,815	27.9%	469,688	327,210	3,340,329	37,000	$28.59
Class C	12,336,595	32,933	2,195,993	18.1%	-67,367	-201,170	583,145	-	$21.81
PHOENIX TOTALS	**87,539,398**	**3,412,115**	**19,796,874**	**26.5%**	**772,138**	**973,402**	**6,518,935**	**431,500**	**$30.10**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

© 2026 Cushman & Wakefield

MAJOR MARKET STATISTICS

MAJOR MARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**	OVERALL AVG ASKING RENT (CLASS A)**
Camelback/Piestewa Peak	9,316,836	209,210	1,931,763	23.0%	-9,758	-39,809	895,707	37,000	$38.05	$45.94
Central Business District	14,426,446	366,921	4,162,230	31.4%	-17,238	-120,768	556,360	-	$28.03	$34.87
East Phoenix	8,492,403	690,460	2,338,390	35.7%	45,277	66,326	456,722	-	$28.34	$31.87
Northeast Valley/Scottsdale	20,276,749	446,202	3,606,888	20.0%	130,513	177,238	1,825,124	394,500	$34.18	$39.50
Southeast Valley	13,618,942	577,921	2,861,912	25.3%	235,959	348,147	1,179,984	-	$29.14	$31.24
Tempe	10,297,494	837,516	1,806,446	25.7%	191,875	634,467	862,134	-	$34.02	$39.94
West/Northwest Phoenix	11,110,528	283,885	3,089,245	30.4%	195,510	-92,199	742,904	-	$25.53	$31.00
PHOENIX TOTALS	**87,539,398**	**3,412,115**	**19,796,874**	**26.5%**	**772,138**	**973,402**	**6,518,935**	**431,500**	**$30.10**	**$35.31**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

KEY LEASE TRANSACTIONS Q4 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
North Scottsdale Corporate Center I	Scottsdale Airpark	Yrefy	154,497	Sublease
Ascend at Chandler Airport Center – Bldg C	Price/Chandler/Gilbert	SyberJet	130,642	Direct New
Bond	Camelback Corridor	Banner Health	65,590	Direct New
One Chandler Corporate Center	South Tempe/Ahwatukee	Claim Assist	58,697	Direct New
Hayden Ferry Lakeside I	Tempe	Align Technology	52,873	Direct New

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q4 2025

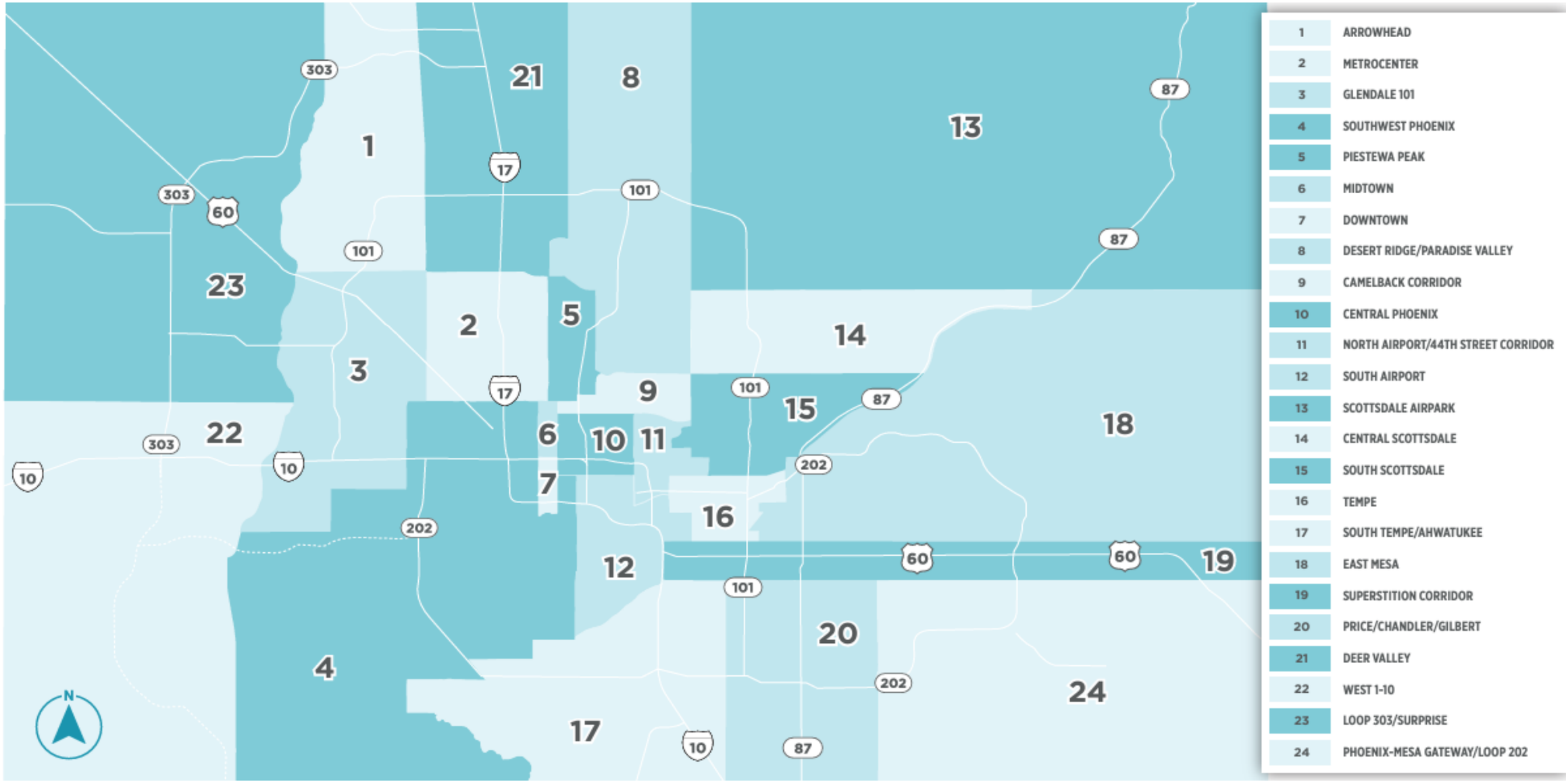
PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Chaparral Commerce Center	South Scottsdale	Peakstone Realty Trust / SRPMIC	396,473	Confidential
2600 Tower	Midtown	Townline Homes / Cotterkey Investments	317,687	$15.0M / $47
333 N Central Avenue	Downtown	Peakstone Realty Trust / Trillium Residential	249,012	$25.0M/ $100
8530-8550 S Priest Drive	South Tempe/Ahwatukee	Widewaters / Maricopa Community Colleges	188,960	$27.0 / $143
Axis Raintree	Scottsdale Airpark	PGIM, Inc. / Horton Family LP	179,360	$70.8M / $394

KEY CONSTRUCTION COMPLETIONS 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Gilbert Spectrum – Building 3	Price/Chandler/Gilbert	Northrop Grumman	119,222	SunCap Property Group
Fender HQ	Desert Ridge/Paradise Valley	Fender	76,655	RED Development
Maeve Central Station - Office	Downtown	None	73,000	Medistar Corporation

© 2026 Cushman & Wakefield

OFFICE SUBMARKETS



JOSH CRAFT
Senior Research Analyst
Tel: +1 602 468 8596
joshua.craft@cushwake.com

JEFF COOLEDGE
Senior Research Manager
Tel: +1 602 224 4448
jeffrey.cooledge@cushwake.com

©2026 Cushman & Wakefield. All rights reserved. The information contained within this report is gathered from multiple sources believed to be reliable, including reports commissioned by Cushman & Wakefield ("CWK"). This report is for informational purposes only and may contain errors or omissions; the report is presented without any warranty or representations as to its accuracy.

Nothing in this report should be construed as an indicator of the future performance of CWK's securities.
You should not purchase or sell securities—of CWK or any other company—based on the views herein. CWK disclaims all liability for securities purchased or sold based on information herein, and by viewing this report, you waive all claims against CWK as well as against CWK's affiliates, officers, directors, employees, agents, advisers and representatives arising out of the accuracy, completeness, adequacy or your use of the information herein.